



Marketing Research Report

Group 9

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Executive Summary

H&M is a global fast fashion brand with retail and e-commerce presence that emphasizes delivering trendy, yet affordable apparel, accessories, and home goods. As the fashion industry faces constant criticism for textile waste, carbon dioxide emissions, and overproduction, industry trends have shifted towards increasing ESG and sustainability focuses, especially regarding transparency and ethical practices. Moreover, within a Canadian context, young consumers, notably students, are becoming more sustainability aware, demanding authentic and transparent environmental claims from brands. In response, H&M aimed to increase their sustainability positioning and messaging through the introduction of its Conscious Clothing line - positioned as a responsible fast fashion option and marketed as “the shortcut to more sustainable shopping” - with claims that products consisted of over 50% more sustainable materials (i.e. organic cotton, recycled polyester, etc.). However, concerns about vague environmental claims, lack of transparency and potential greenwashing have contributed to reducing consumer trust and brand appeal especially among their target consumers who value sustainability. Resultingly, H&M faced a decline in consumer trust toward its Conscious line due to limited transparency about production practices and suspicions of greenwashing. This risks damaging their brand reputation, resonance, and sales performance.

This study explores how the Conscious Clothing line shapes perceptions of H&M, their sustainability efforts, brand equity and consumer purchasing behaviors. The primary objective is to determine how consumer trust issues and perceived greenwashing associated with H&M’s former Conscious clothing line influence current perceptions of H&M’s sustainability efforts, brand equity, and purchase behavior among Canadian consumers. Specific objectives include measuring the awareness and salience of the Conscious line; assessing perceptions of H&M’s sustainability & transparency, evaluating the relationship between perceived greenwashing and trust; examining how trust and brand image influence purchasing decision and Willingness to Pay; and identifying strategies to enhance brand equity and foster credibility through sustainability and ESG.

The study undertakes a mixed-method approach using a combination of an online survey (n=92), an online focus group (n=3), and 7 structured interviews. Due to time and budget constraints, non-probability convenience sampling was used to recruit participants (primarily aged 18-24) and research was conducted over a period of 3 consecutive week via Google Forms, Zoom, and phone interviews. Survey Responses were analyzed using descriptive statistics, whereas qualitative data was categorized according to patterns. Regarding study limitations, the use of convenience sampling and collection method resulted in a sample that is not representative of the broader Canadian population - limiting generalizability. The homogeneity and focus group size restricts the range of qualitative insights. Conducting qualitative research exclusively online prevented valuable observation of nonverbal cues, body language, or emotional reactions. Google Forms also limited the question design, preventing the implementation of more nuanced semantic differential scales and formats. Finally, as the study relied on self-reported and self-administered data, results are subject to recall and social desirability bias.

To summarize results, awareness of the line was very low with 76.1% being unaware - indicating ineffective communication. Even among those who recognize the green tag, understanding was limited. Survey ratings for transparency, trustworthiness, and environmental impact all fell between 2.6–2.9 on a 5-point scale, indicating widespread skepticism. Qualitative data supported this with 70% of participants perceiving the imitative as greenwashing. While consumers care about sustainability, factors like low

perceived quality, unclear claims, and H&M's fast-fashion identity were strong factors, affecting both trust and purchase intent. While most respondents were unwilling to pay significantly more for sustainable products, many expressed willingness to reconsider if claims were verifiable and product quality improved.

To help rebuild trust, strengthen brand equity and meet consumer demands for true sustainability, H&M can increase transparency through detailed product traceability & sustainability disclosures via QR code journeys. Adopting third-party certification and expanding on current initiatives like garment repair and recycling programs would also enhance credibility of sustainability claims. Product quality and durability can also be improved to increase appeal. Communications should shift towards clearer, evidence-based and data-backed statistics and facts as opposed to vague terminology. Finally, implementing TrustTag, an AI-supported sustainability scorecard and consumer feedback tool, alongside a "See The Impact" campaign would highlight and reinforce consistent, verifiable and transparent communications and brand messaging.

Background

Hennes & Mauritz (H&M) is a well-known and recognized Swedish multinational brand in the global fast-fashion industry. The company operates through a network of thousands of physical stores and a steady e-commerce platform, offering a wide range of clothing, accessories, and home goods for all ages. H&M's business model is built on providing the latest trends at an affordable price, with the core mission to provide fashion and quality at the best price (LaBianca, 2025). In recent years, however, H&M has increasingly positioned itself as a leading brand for sustainability in the sector. This is shown through ambitious initiatives aimed at advancing the industry towards a more environmentally conscious model, such as its garment collection programs and the use of recycled materials (H&M Group, 2025).

The global fashion industry has increasingly been criticized for contributing to environmental degradation through textile waste, carbon emissions, and unsustainable production practices. In response to growing consumer awareness and demand for sustainability, fast fashion companies have introduced eco-marketed product lines to improve their environmental image. H&M launched its Conscious line using marketing phrases such as "the shortcut to more sustainable shopping" and "Conscious choice", promoting garments made with "at least 50% more sustainable materials" such as organic cotton or recycled polyester (H&M Group, 2021). Through this initiative, H&M positions the Conscious line as a more responsible alternative within fast fashion. However, customers and non-governmental organizations (NGOs) have raised concerns about whether these claims are credible and transparent, with some accusing the brand of greenwashing due to vague sustainability labeling and limited disclosure of actual environmental impact. In Canada, young consumers, for example university students, represent a key market for fast fashion, yet many of them increasingly question the authenticity of sustainability claims made by major brands.

Problem Definition

H&M faced a decline in consumer trust toward its Conscious line due to limited transparency about production practices and suspicions of greenwashing.

Key Research Objective

Determine how consumer trust issues and perceived greenwashing associated with H&M's former Conscious clothing line influence current perceptions of H&M's sustainability efforts, brand equity, and purchase behavior among Canadian consumers.

Specific Research Objectives

1. Assess the level of awareness and salience of H&M's Conscious clothing line.
2. Explore how H&M's Conscious clothing line shapes consumer perceptions of sustainability and evaluate consumer perceptions of H&M's transparency and sustainability claims
3. Assess the relationship between perceived greenwashing and sustained trust in the H&M brand.
4. Identify how trust and brand image affect consumers' purchase intentions and willingness to pay for sustainable fashion.
5. Identify effective strategies to strengthen customer trust in H&M.
6. Determine ways to enhance brand equity through enhanced altruistic sustainability tactics

Justification for the Study

Growing sustainability awareness is changing consumer expectations, and brands that make environmental claims are now being held accountable by customers and NGOs. This study is necessary to understand how trust issues and perceived greenwashing associated with H&M's Conscious line influence consumer perceptions of H&M's broader sustainability efforts, brand equity, and purchase behavior. If H&M does not address this growing skepticism, it may face long-term damage to brand reputation, declining customer loyalty, and reduced sales. The findings of this research can help H&M identify what drives consumer trust and develop more transparent, credible sustainability communication strategies to rebuild confidence in the brand and strengthen overall brand perception.

The Research Methodology

Data Collection and Sampling Method

This study used a non-probability convenience sampling method to gather data. Participants were selected based on their immediate availability and willingness to take part in the study. This approach was appropriate given the project's time constraints, limited budget, and the absence of a complete sampling frame of all H&M customers in Canada. While this method doesn't allow for statistical generalization to the broader population, it provides valuable exploratory insights into the perceptions and behaviors of a specific segment.

The research was conducted online over three weeks. Data collection was primarily conducted by the group members through digital channels. The survey and interview invitations were distributed among the group members' personal and academic networks (i.e., classmates, friends, family) via social media and direct messaging. No incentives were offered for participation, ensuring responses were voluntary and unbiased. Before participation, all respondents were provided with an informed consent statement outlining the study's purpose and assuring them of the anonymity and confidential use of their data. No personal information was collected.

Research Design and Quality Control

A mixed-method approach was used to gain both measurable trends and deeper, contextual insights into consumer perceptions and awareness of H&M's sustainability efforts. This combination allows for a more comprehensive analysis and supports the development of stronger recommendations that can effectively be implemented. The research design consisted of three primary components:

1. **Online Survey:** Quantitative data was collected using a self-administered questionnaire created on Google Forms. The survey was pilot tested by group members to identify any ambiguities in the questions or technical issues with the online form, and minor adjustments were made accordingly. The survey was structured into multiple sections:
 - Section A (Shopping Context & Awareness) used nominal scales, dichotomous questions, and ordinal scales. These foundational questions are appropriate for categorizing respondents and establishing their basic shopping habits, which is crucial for segmenting the data in later analysis.
 - Section B (Conscious Line Awareness) included a brief background on H&M's discontinued Conscious line, followed by dichotomous and nominal questions to gauge prior awareness and purchasing reasons. This section effectively measures the reach of H&M's marketing and the primary drivers behind consumer purchases of the line, providing key metrics for brand awareness.
 - Section C (Attitudes and Perceptions) used interval-level 5-point Likert scales (Strongly Disagree to Strongly Agree) to measure perceptions of H&M's trustworthiness and sustainability claims. The Likert scale is ideal here as it captures the intensity of respondents' attitudes, allowing for a distinct measurement of perceptions that go beyond a simple yes or no.
 - Section D (Behaviour and Intent) used ordinal scales for purchase likelihood, and Likert scales to measure peer influence, concluding with a nominal, multiple-choice question on barriers to sustainable consumption. These questions are designed to connect attitudes to future actions.
 - Section E (Open-Ended) provided a qualitative component, asking what H&M could do to increase consumer trust. This open format is crucial as it captures unprompted, rich feedback directly from consumers, providing actionable insights that predefined options might miss.
 - Section F (Demographics) collected nominal data on participant characteristics (e.g., age, gender, employment status). This standard demographic data is essential for describing the sample and understanding how responses may vary across different demographic segments.
2. **Online Focus Group:** An online focus group was conducted in real-time via Zoom with a few of the group members. The session consisted of four participants and was moderated by one group member who asked the questions and took notes. The discussion guide was similar to the survey themes, but was designed to be more personable, using a mix of dichotomous and open-ended questions to bring out detailed "why" and "how" responses through group interaction.
3. **In-Depth Interviews:** To gather rich and individualized data, group members conducted one-on-one interviews with peers and friends. These interviews, which lasted approximately 10-15 minutes each,

were conducted with 6 individuals. They were conducted via Zoom or phone call, following a semi-structured format to allow for more follow-up questions.

To ensure data quality and integrity in the online survey, certain quality control measures were implemented. The final question in the online survey instructed participants to select a specific response (i.e. “Agree”) to confirm they were reading the questions carefully. This helped identify and filter out inattentive respondents.

Data Analysis

The quantitative data from the survey were analyzed using Google Sheets to generate descriptive statistics and identify basic trends. The qualitative data from the open-ended survey questions, focus group, and interviews were analyzed by group members who identified recurring patterns and key themes in participants’ responses.

Limitations of Findings

Despite the careful design, this study has several limitations that should be considered when interpreting the results. Firstly, the use of convenience sampling and recruitment through digital networks means the sample is not representative of the broader Canadian population, likely skewing towards a younger, academically affiliated demographic. This limits the ability to generalize findings.

Secondly, the small sample size for the focus group and the homogeneity of its participants in terms of age and background mean that the qualitative insights may not capture the full spectrum of consumer opinions. The exclusive use of online and digital methods for qualitative data (focus groups and interviews) posed a significant constraint, as the person conducting the focus group and/or interview was unable to observe nonverbal cues, body language, or emotional reactions, which are valuable for a complete understanding of participants' sentiments.

Further, the research tool itself had limitations. The use of Google Forms restricted the ability to implement more complex question formats, such as a semantic differential scale (e.g., “Using the scale below, how would you describe H&M’s overall image? Please drag the cursor to a point on the scale.”), which could have provided more distinct data on brand perception. Lastly, as the research itself was self-administered and relied on self-reported data, responses may be subject to recall bias and social desirability bias, in which participants provide answers they believe are socially acceptable rather than their true beliefs or behaviours, particularly on a topic like sustainability.

Survey Findings

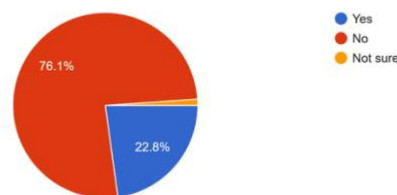
We conducted an online survey using a mix of quantitative and qualitative questions, gaining a sample size of 92 users. Our findings provide vast insight into respondents’ behaviors and attitudes towards H&M, fast fashion, the Conscious clothing line, and sustainability.

The first section asks questions regarding the user’s general shopping habits and brand awareness. Primarily, it highlights how 56.5% of the respondents have not purchased from H&M in the past year (*Figure 1*). When it comes to fast fashion brands, the majority of respondents opt to shop at Uniqlo instead. 61

respondents mention they have purchased from Uniqlo in the past year, while 37 answer that they shop there the most frequently out of any other fast fashion brand. Interestingly, 17 users disclose that they rarely, or never, shop at fast fashion brands. In terms of purchasing behaviour, 54.3% of respondents purchase clothing every few months, while 21.7% purchase clothing once a month, the next highest category on the scale (*Figure 2*). Sustainability is somewhat important to 51.1% of respondents and very important to 26.1% of them (*Figure 3*). It is important to note that three respondents consider it extremely important, but in general it appears that sustainability is something respondents are thinking about to some degree when making purchasing decisions.

The next section briefly provides a summary of what H&M's Conscious line was before determining respondents' awareness of it. 76.1% of respondents were not aware of the Conscious line, implying that the company did not properly communicate information about it at the time it came out.

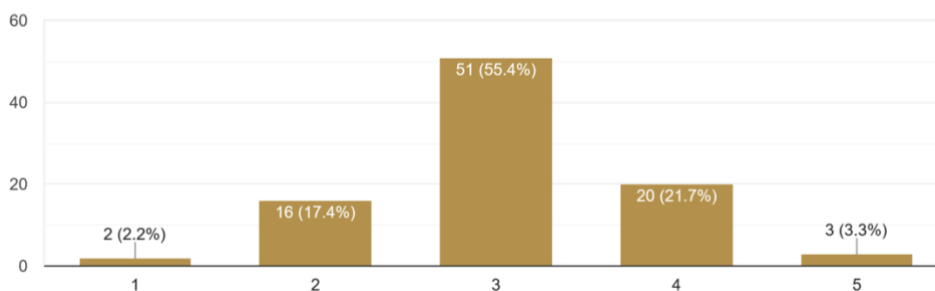
Q6. Before today, were you aware that H&M previously had a "Conscious" line (now discontinued)?
92 responses



Out of 38 users who purchased from H&M in the past year, only 12 were aware of the Conscious line (*Figure 4*), while 21 users were aware of it in total. 14 users, being the majority, answered that they heard about the Conscious line through the clothing tags. 54.3% of respondents have never purchased anything from the Conscious line (*Figure 5*). Of the 8 people who purchased an item from the Conscious line, 5 answered that it was because it fit their style, 2 say that it was a good value for the price, while 1 individual bought it because it had the Conscious clothing tag.

In Section C, we measure respondents' attitudes and perceptions towards H&M and its Conscious clothing line. When asked whether users found the Conscious line to be a genuinely sustainable initiative on a numerical scale, 55.4% opted to choose the neutral response of 3, while 21.7% answered 4, and 17.4% answered 2, resulting in a mean of 3.07.

Q10. The Conscious line was a genuinely sustainable initiative.
92 responses



Meanwhile, when questioned if H&M adequately explains the production process of its sustainable products, people lean towards disagreeing, as 39.1% answered 3, 29.3% answered 2, and 18.5% answered 4

(Figure 6), with a mean of 2.72. Other statements such as “H&M’s environmental claims are trustworthy,” “H&M’s sustainability initiatives make a real positive impact on the environment,” “Compared to similar brands, H&M shows a stronger commitment to sustainability”, and “I actively look for verified sustainable clothing options when I shop,” all lean towards disagreement (Figures 7, 8, 11, and 12) and have means of 2.63, 2.7, 2.73, and 2.7 respectively. 34.8% of users answered 4, 30.4% answered 3, and 19.6% answered 5 regarding whether they believe H&M uses sustainability as a marketing tactic (Figure 10), producing a mean of 3.54. The most varied answers come from the statement “H&M provides transparent information about materials and production,” as 29.3% of users answered 3 and 4 on the scale, while 27.2% answered 2 (Figure 9), which leads to a mean of 2.87. Lastly, by conducting a paired samples t-test between the statements in Q10 listed above and Figure 11, we obtained a p-value of 0.0012, indicating a statistically significant difference between the two statements.

Section D measures the individuals’ behaviour and intent towards purchasing from H&M and sustainable clothing in general. When asked how likely one is to buy from H&M in the next three months, 37% of people are very unlikely to buy, 27.2% are somewhat unlikely, and 23.9% are somewhat likely, but it generally leans into a more negative response (Figure 14). Responses fluctuate to the statement “My friends or peers encourage me to buy from sustainable clothing brands,” with 31.5% answering 3, 26.1% answering 4, 23.9% answering 2, and 15.2% even answering 1 (Figure 15), which causes a mean of 2.78. If H&M provided clearer info about its sustainability practices, 51.1% answered that it would slightly more likely affect their likelihood of purchasing, while 37% said there would be no change and 9.8% say they are much more likely to purchase from them (Figure 16). Answers are similar when asked about purchasing intent if they launched a clearly verifiable sustainable line again, with 42.4% of users stating they would be somewhat likely to try it, 22.8% are not sure, and 18.5% are very likely to do so (Figure 17). If a \$25 T-shirt was certified as sustainable, 29.3% of people state that they are willing to pay up to \$1.25 more, 28.3% won’t pay any more than, and 21.7% will pay around \$2.75-5 more (Figure 18). We find that 71.7% of people state that higher prices prevent them from buying sustainable clothing. Other problems include limited availability or styles (57.6%), uncertainty about which brands are truly sustainable (55.4%), and a lack of trust in sustainability claims (46.7%) (Figure 19).

Nearing the end of the survey, we ask the open-ended question of what H&M could do differently to increase an individual’s trust in their sustainability terms. Many users reference H&M’s poor quality, and their association as a fast fashion brand, which naturally erodes people’s trust. People want transparency, access to public information regarding their data and materials, as well as traceability. Others suggest that H&M should “stop using fast fashion, sweatshops, and synthetic materials like polyester”, and to “make everything sustainable and not just one line”. Some individuals state that they should create campaigns that highlight sustainability, create reports, and show consumers a direct example of their product line. One respondent expresses that the company should “have a priority over sustainability, increase communication about those efforts and have it clearly visible”. Overall, it seems users want H&M to be very clear and transparent about the processes behind their clothing production or to completely change its model and pull away from fast fashion, since that term is so heavily associated with being unsustainable.

Lastly, our final section consists of demographic questions. We find that 95.7% of respondents are in the age group of 18-24 (Figure 20). There is a split of 80.4% female, 17.4% male, and others preferring not to say their gender (Figure 21). 85.9% of respondents are full-time university students, while the next highest is 6.5% being full-time employees (Figure 22).

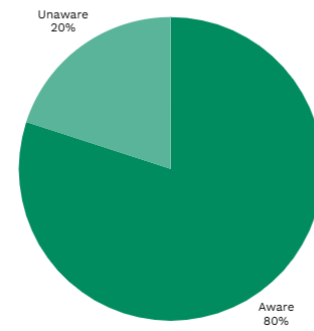
Further Interview and Focus Group Findings

This section summarizes insights collected through seven in-depth interviews and one focus group with three participants (total n = 10). The results are organized around core research objectives defined by H&M to understand consumer trust, perceived greenwashing, sustainability expectations, and the equity impact of the Conscious Line.

Awareness and Understanding of the Conscious Line

Across all participants, we observed minimal recognition of the Conscious collection, portraying that awareness is extremely low across the target segment. 80% of participants had no awareness of the line prior to their participation. Even those who had encountered the green tag in store failed to articulate how it differentiates Conscious garments from the rest of H&M products. This indicates low marketing communication effectiveness and poor cue diagnosticity. H&M's sustainability signal is not strong enough to activate consumer recognition or understanding.

Participant Awareness of Conscious Line



Quotes illustrating this:

- “I’ve never heard of it...this is my first time.” (Linn)
- “I saw the tag but I don’t know what’s fake or what’s real.” (Ann Mary)

The Conscious tag does not serve as an effective sustainability signal, as consumers fail to recognize or understand what it means. This limits brand salience and prevents the Conscious line from influencing purchase decisions or gaining consumer trust.

Perceptions of Sustainability

Participants found the sustainability claims unclear and unconvincing. A strong majority, 9 out of 10 participants (90%) described the Conscious claims as vague, hard to interpret, or simply not credible. Many saw the claims as too broad, which reduces source credibility and offers low diagnostic value.

Participants said:

- “Most of the claims...not believable.” (Crisil)
- “Feels fake; you don’t know if any of it’s true.” (Ann Mary)

Transparency is the biggest missing piece by H&M. All participants said that they wanted more specific information about: sourcing, production, worker conditions, environmental impact, and third-party verification. They suggested utilizing QR codes, certifications, and clear material breakdowns to reduce information asymmetry.

These findings illustrate that rather than rejecting sustainability as a whole, consumers are specifically rejecting sustainability that feels unverified or overly simplified. Consumers need further clarity and proof to improve their perception of authenticity.

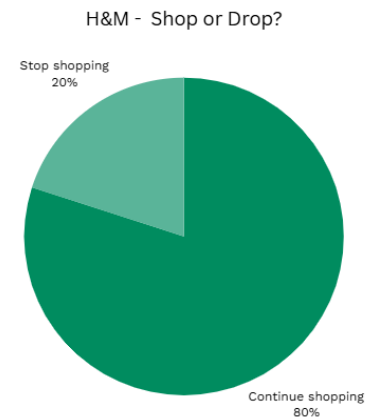
Impact of Greenwashing Concerns on Brand Trust

Participant responses portray high greenwashing concerns, which strongly influence their attitudes towards the H&M brand. 7 out of 10 participants (70%) directly described the Conscious line as greenwashing or “just marketing”. Given H&M’s fast fashion model, consumers find it difficult to overcome its negative brand reputation and skepticism.

Examples from the focus group:

- “I think it’s marketing... basically greenwashing.” (Hannah)
- “It doesn’t feel believable; it’s fast fashion.” (Anita)

The quotations and feedback portray declining trust. However, despite their negative perception towards the brand, only 4/10 respondents said that they would stop shopping at H&M entirely. Over half (60%) admitted that they would still shop occasionally due to its affordability, convenience, and availability. This reflects consumer attitude-behavior gap, as their values do not always translate into action.



While trust erosion occurs, it has not fully translated into lost traffic. H&M still has the opportunity to rebuild credibility before skepticism further damages the brand and becomes a long-term brand equity issue.

Brand Image, Quality Perceptions and Purchase Intentions

Participants consistently described the brand using terms like: cheap, low quality, not durable, and inconsistent sizing, which strongly associates H&M with fast fashion and lower durability. These negative associations weaken important dimensions of brand equity, especially perceived quality and brand credibility.

For example:

- “Cheap but low quality.” (Crisil)
- “Not good quality. It’s fast fashion.” (Linn)

Furthermore, participants made it clear that sustainability only matters *if* the product is attractive, long lasting, and priced fairly. With prioritization of quality and style over sustainability, this aligns with the expectancy-value model, where functional value triumphs.

Findings portray that consumer willingness to pay is modest but conditional. Half of respondents (5/10) said they would pay \$5-10 more *if* the product’s sustainability claims were credible and the quality was equal or better than the default alternative. The same portion of respondents would not pay more without clear proof or better durability. For instance, one participant claimed, “If quality is better, I’d pay more..but not just for recycled polyester.” (Natasha).

Moving forward, improving durability and substantiating sustainability would support trust and willingness to pay, helping the Conscious line become more competitive. H&M must also pay attention to materials used, in order to convince consumers that purchases are ‘worth it’.

Consumer Recommendations for Strengthening Trust

Across the interviews and the focus group, participant suggestions highly aligned:

1. High transparency (10/10 participants) - Consumers want to see the full product journey, from material sourcing to the end-of-life, to close the transparency gap.
2. Third-party verification (8/10 participants) - Participants linked certifications and external audits to higher source credibility and trust.
3. Improved quality and durability (6/10 participants) - Better product performance would reinforce sustainability claims and strengthen functional value.
4. Lower production volumes (4/10 participants) - Several participants noted the mismatch in trust sustainability messaging when the fast-fashion model depends on volume for profit.
5. Clearer educational communication (3/10 participants) - Participants want clear expectations of materials, environmental impact, and why certain choices matter.

H&M's strongest opportunities lie in improving claim specificity, validating sustainability efforts, and enhancing product quality. These would directly support brand trust and can differentiate the Conscious line in a crowded market.

Conclusion and Note on Findings

Overall, the findings show that awareness of the Conscious line is low, trust in sustainability claims is limited, and perceived greenwashing remains a barrier. However, participants also showed openness to trust H&M if sustainability efforts become more transparent, verifiable, and consistent with product quality. This presents an opportunity for H&M to strengthen credibility and enhance brand equity among young Canadian consumers. Additionally, A small number of interview questions generated insights not directly relevant to the research objectives (e.g. personal style preferences, general sustainability habits). These, as well as the full questions asked, are included in Appendix B and C for completeness and transparency.

Interpretation

The findings directly address the research objective of understanding how consumer trust issues and perceived greenwashing associated with H&M's former Conscious line shape current perceptions of H&M's sustainability efforts, brand equity, and purchase behaviour. The results begin by addressing awareness and salience of H&M's Conscious clothing line, revealing that 76.1% of survey respondents and 80% of interview participants had never heard of the line before the study. Even those who had encountered the green tag were unsure of its meaning, with one participant explaining, "I saw the tag but I don't know what's fake or what's real." These findings indicate that H&M did not successfully communicate or position the Conscious line in a way that consumers could recognize or recall. As a result, the initiative lacked the visibility necessary to shape perceptions or improve trust.

The second objective was to evaluate how consumers perceive the sustainability, transparency, and authenticity of H&M's claims. The numerical results consistently showed uncertainty and skepticism, with key statements on transparency and trust scoring between 2.6 and 2.9 on a 5-point Likert scale. These low averages align with qualitative insights, where 9 out of 10 interviewees described the messaging as vague, broad, or difficult to verify. Participants wanted specific details such as sourcing information, production

processes, and third-party certification to assess whether the claims were trusted. These results suggest that consumers are interested in sustainability but require clearer evidence in order to believe the sustainability claims. H&M's current communication approach does not provide the detail needed to evaluate authenticity, which weakens perceived credibility.

The third objective examined whether perceived greenwashing affects trust in H&M. Most of the respondents agreed on the statement that H&M uses sustainability as a marketing tactic (mean = 3.54), and a paired t-test indicated a significant difference between viewing the initiative as genuine versus promotional. Qualitative responses reinforce this pattern, with 70% of participants explicitly describing the Conscious line as greenwashing or "just marketing." Many linked their skepticism to H&M's identity as a fast-fashion brand, frequently describing it as "cheap," "low quality," or "not durable." These associations suggest that consumers see a mismatch between H&M's business model and its sustainability messaging, which increases customer's skepticism to the H&M sustainability claims.

The next objective focused on how trust and brand image influence purchase intentions and willingness to pay. The results show that 64% of survey respondents were unlikely to shop at H&M in the next three months, and the majority were willing to pay only \$0–\$1.25 more for a certified sustainable T-shirt. Interview participants explained these choices by emphasizing that durability, fit, and style matter more than sustainability when making purchasing decisions. As one participant put it, *"If quality is better, I'd pay more...but not just for recycled polyester."* These findings suggest that even if consumers care about sustainability, weak product quality perceptions and low trust restrict the influence of sustainability messaging on changing customer behaviour.

The final objective explored what consumers believe H&M must do to strengthen trust and enhance brand equity. Participants asked for clearer and more verifiable information, including traceability, certifications, and transparent reporting. Many participants also emphasized that sustainability claims would be more appealing if supported by better product quality and more durable materials. These insights show that consumers want sustainability efforts to be transparent and reliable without compromising product quality.

Overall, the findings collectively demonstrate that consumer trust issues and perceived greenwashing of H&M conscious line significantly shape how Canadian consumers view H&M's sustainability efforts, weaken brand equity, and reduce purchase behaviour. Low awareness, unclear communication, and perceived inconsistency between sustainability claims and fast-fashion practices all contribute to the trust deficit described in the business problem. However, the results also reveal that consumers remain open to trusting H&M again if future sustainability initiatives are transparent, verifiable, and supported by improved product quality. Addressing these expectations offers H&M a clear opportunity to rebuild trust and strengthen its brand among young, sustainability-conscious consumers.

Recommendation

The insights from our research highlight areas where H&M can improve the credibility of its sustainability efforts and better address consumer expectations. First, additional research is needed to understand which sustainability claims most effectively build trust. Testing different communication formats, such as QR-code product journeys or impact metrics, would help H&M better identify what information is

most influential. Moreover, given that many respondents had not purchased from H&M in the past year, it is important for H&M to conduct further research on understanding what discourages purchases.

Our findings suggest that H&M should make improvements to its current practices. Participants frequently described the brand as low quality and strongly associated with fast fashion, which undermines the credibility of any H&M sustainability effort. To address this, H&M should rebuild a transparent, verifiable sustainability strategy that focuses on clarity, traceability, and proof. Improving product durability and material quality is also essential, as consumers prioritize functionality before sustainability claims.

For future direction, H&M should enhance sustainability education. This could be done through multiple ways, including clearer explanations of materials, production practices, and environmental impact. The company also has opportunities to expand circular initiatives, such as garment repair and recycling programs, to build a more responsible ecosystem. In terms of communication, messaging should shift from vague claims to simple, fact-based explanations supported by third-party verification. To make sustainability more visible and engaging, H&M could launch a digital-first storytelling campaign that highlights the journey of a single garment from sourcing to end-of-life. They could use short-form videos and visual content on platforms such as Instagram, TikTok, and in-store screens. These visuals could show clear sustainability practices in an easily digestible and relatable way. Advertising should also feature credible sustainability voices, such as Greenpeace, OEKO-TEX, or Bluesign certification partners, to make sustainability messaging more trustworthy.

To integrate these recommendations into an actionable direction, we propose TurstTag. TrustTag is an AI-powered sustainability scorecard and interactive assistant built into each product page and garment tag. It offers verified, easy-to-understand details on materials, sourcing, environmental impact, and garment care, addressing the trust and clarity gaps identified in our research. Shoppers can also ask questions through a Sustainability AI Assistant (See Figure A) that can address any concerns in simple and interactive language. Importantly, every question submitted becomes live qualitative data for H&M. It can create a continuous feedback loop that integrates marketing research into everyday customer interactions and supports ongoing improvement of H&M's sustainability practices.

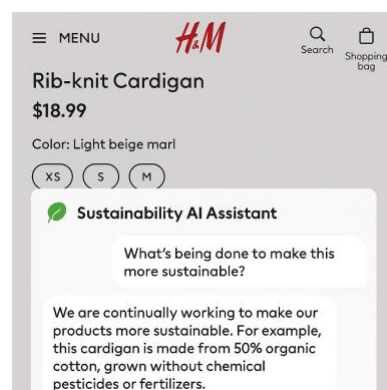


Figure A



Figure B

Additionally, to reinforce TrustTag, H&M can launch a recurring marketing initiative titled “See the Impact.” (See Figure B). This campaign presents fact-based sustainability information in a clear, minimalist format and can be deployed across digital and in-store displays. Importantly, increasing the consistency and frequency of this messaging will help reduce the perception of greenwashing by demonstrating that sustainability is not a temporary theme but a continuous commitment.

Appendix

Appendix A: H&M & Sustainability Survey

We are conducting a short academic survey to understand shopping habits and opinions about H&M's sustainability efforts.

Our purpose is to explore consumer perceptions and purchase intentions related to H&M's former Conscious Clothing Line and potential future sustainability-focused products.

The survey will take approximately 3–5 minutes to complete.

Your participation is voluntary and anonymous, and no identifying information (such as name, email, or IP address) will be collected.

All responses will be used for class research purposes only.

Thank you for your time and thoughtful input!

Section A – Shopping Context & Awareness

Before we discuss sustainability, we'd like to start with a few questions about your general shopping habits and brand awareness.

Q1. In the past 12 months, have you purchased from H&M?

- Yes
- No

Q2. Which fast fashion brands have you purchased from in the past 12 months? (Select all that apply)

☐ H&M

☐ Zara

☐ Uniqlo

☐ SHEIN

☐ Other:

Q3. Which fast fashion brand do you shop from most often?

☐ H&M

☐ Zara

☐ Uniqlo

☐ SHEIN

☐ I rarely/never shop at fast fashion brands

☐ Other:

Q4. How often do you purchase clothing in a year (any brand)?

- Once a month or more
- Every few months
- Once or twice a year
- Rarely
- Never

Q5. How important is sustainability when you purchase clothing?

- Extremely important
- Very important
- Somewhat important
- Not very important
- Not important at all

Section B - Conscious Line Awareness

Before proceeding, here's a brief background about the H&M Conscious Line:

The H&M Conscious Line was launched in 2010 as part of the brand's sustainability initiative to create clothing using environmentally friendlier materials, such as organic cotton, recycled polyester, and Tencel.

Each Conscious item featured a distinct green tag, as shown below, to help customers easily identify the collection in stores and online.

However, in 2023, the Conscious Line was discontinued, as H&M began integrating sustainability practices across all of its product lines, rather than maintaining a separate label.

Example of the H&M Conscious Line tag attached to products.



Q6. Before today, were you aware that H&M previously had a “Conscious” line (now discontinued)?

- Yes
- No
- Not sure

Q7. (If yes) Where did you hear about the Conscious line?

- ☐ On the clothing tags
- ☐ In-store signage
- ☐ Social media (e.g. Instagram, TikTok)
- ☐ H&M website or email
- ☐ Friends/family
- ☐ News or NGO coverage
- ☐ Other:

Q8. Have you ever purchased items from the Conscious line before it was discontinued?

- Yes
- No
- Not sure

Q9. What was the main reason for purchasing the item?

- ☐ It fit my style

- ☐ It was trendy
- ☐ It had the Conscious tag (sustainable label)
- ☐ It was good value for the price
- ☐ Other:

Section C – Attitudes & Perceptions

Please indicate how much you agree or disagree with each of the following.

(5-point scale: Strongly disagree / Disagree / Neutral / Agree / Strongly agree)

Q10. The Conscious line was a genuinely sustainable initiative.

Q11. H&M clearly explains how its sustainable products are made.

Q12. H&M's environmental claims are trustworthy.

Q13. H&M's sustainability initiatives make a real positive impact on the environment.

Q14. H&M provides transparent information about materials and production.

Q15. H&M uses sustainability mainly as a marketing tactic.

Q16. Compared to similar brands, H&M shows a stronger commitment to sustainability.

Q17. I actively look for verified sustainable clothing options when I shop.

Section D – Behavior & Intent

Q18. How likely are you to buy from H&M in the next 3 months?

- Very likely
- Somewhat likely
- Somewhat unlikely
- Very unlikely
- Not sure

Q19. My friends or peers encourage me to buy from sustainable clothing brands.

- Strongly disagree
- Disagree
- Neutral
- Agree

- Strongly agree)

Q20. If H&M provided clearer information about its sustainability practices, how would that affect your likelihood of purchasing?

- Much more likely
- Slightly more likely
- No change
- Slightly less likely
- Much less likely

Q21. If H&M launched a clearly verified sustainable line again, how likely would you be to try it?

- Very likely
- Somewhat likely
- Not sure
- Somewhat unlikely
- Very unlikely

Q22. Suppose a basic T-shirt costs \$25. If the same T-shirt were independently certified as sustainable (e.g., verified eco-friendly materials and fair labor practices), how much more would you be willing to pay?

- \$0 (I would not pay more)
- Up to \$1.25 more ($\approx 5\%$)
- \$1.50–\$2.50 more ($\approx 6\text{--}10\%$)
- \$2.75–\$5.00 more ($\approx 11\text{--}20\%$)
- Over \$5.00 more (over 20%)
- Not sure

Q23. What prevents you from purchasing more sustainable clothing? (Select all that apply) *

- ☐ Higher prices
- ☐ Limited availability or styles
- ☐ Uncertainty about which brands are truly sustainable
- ☐ Lack of trust in sustainability claims
- ☐ I am satisfied with my current shopping habits
- ☐ Other:

Section E – Open-Ended

Q24. What could H&M do differently to increase your trust in its sustainability efforts?

Section F – Demographics

Q25. Please indicate your age.

- Under 18
- 18 to 24
- 25 to 34
- 35 to 44
- 45 to 54
- 55 to 64
- 65 and more

Q26. Please indicate your gender.

- Female
- Male
- Non-binary
- Prefer not to say
- Other:

Q27. Which of the following best describes your employment status?

- Part-time University student
- Full-time University student
- Part-time College student
- Full-time College student
- Full-time employee
- Part-time employee
- Self-employed
- Other:

Q28. Please select “Agree” for this question to confirm you are reading carefully.

- Strongly disagree
- Disagree
- Neutral
- Agree
- Strongly agree

Appendix B: Focus Group Questions

Screening Questions

1. Have you purchased clothing from H&M in the past year?
2. Are you familiar with H&M’s Conscious clothing line?

3. How often do you shop for fast fashion brands (e.g., H&M, Zara, Uniqlo, Shein)?
4. How important is sustainability to you when buying clothing?

Focus Group Questions

1. When you think of H&M, what kind of image or vibe comes to mind?
2. Have you heard of H&M's Conscious line? What do you know about it?
3. What do you think the word "Conscious" means when used in fashion?
4. Where do you usually see or hear about brands talking about sustainability?
5. Do you think H&M's sustainability claims sound believable? Why or why not?
6. Does H&M give enough information about how its Conscious products are made?
7. How do you think H&M compares to other brands like Zara or Uniqlo when it comes to sustainability?
8. Do you feel the Conscious line is truly sustainable or more of a marketing thing?
9. How do concerns about greenwashing affect your opinion of H&M?
10. Have you ever stopped trusting a brand because of its sustainability claims? What happened?
11. Does sustainability influence how often or where you shop at H&M?
12. If you learned H&M exaggerated its sustainability claims, would that change your decision to buy there?
13. Would you pay a bit more for clothing you knew was genuinely sustainable?
14. What could H&M do to make people trust its sustainability claims more?
15. If you could give H&M one piece of advice about improving its Conscious line, what would it be?

Appendix C: In-Depth Interview Questions

Screening Questions

1. Have you purchased clothing from H&M in the past year?
2. Are you familiar with H&M's Conscious clothing line?
3. How often do you shop for fast fashion brands (e.g., H&M, Zara, Uniqlo, Shein)?
4. How important is sustainability to you when buying clothing?

In-depth Interview Questions

1. What brands come to mind when you think about sustainable fashion and why?
2. How important is sustainability to you when you make decisions about where to shop?
3. Are there any challenges that prevent you from buying sustainable fashion, and if so, what are they?
4. How do you typically find out about a brand's sustainability practices?
5. How much responsibility do you think fast fashion companies have in addressing environmental issues?

6. What actions from a brand would make you believe they are genuinely sustainable?
7. How do you decide whether a brand's sustainability claims are believable?
8. What role do you think consumers play in encouraging sustainable fashion practices?
9. How would you describe H&M's image as a fashion brand?
10. What has your shopping experience been like at H&M and other fast fashion brands?
11. What do you know about H&M's Conscious clothing line and have you ever purchased anything from it?
12. How believable do you find H&M's sustainability claims?
13. Do you think H&M can be both a fast fashion brand and a sustainable company? Why or why not?
14. How do you think H&M compares to other fast fashion brands like Zara, Uniqlo, and Shein in terms of sustainability?
15. What could H&M do differently to make its sustainability efforts feel more genuine to customers?

Appendix D: Survey Graphs

Figure 1: Survey Q1



Figure 2: Survey Q4

Q4. How often do you purchase clothing in a year (any brand)?

92 responses

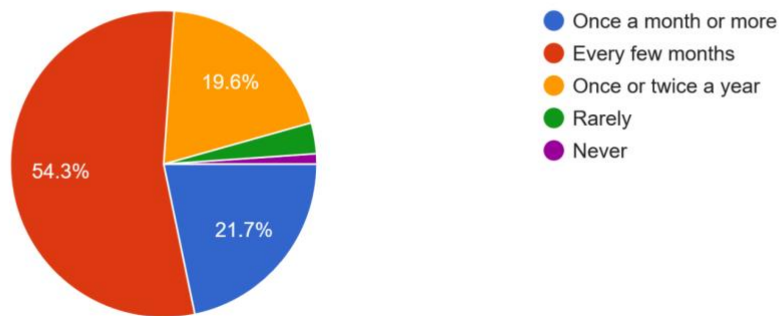


Figure 3: Survey Q5

Q5. How important is sustainability when you purchase clothing?

92 responses

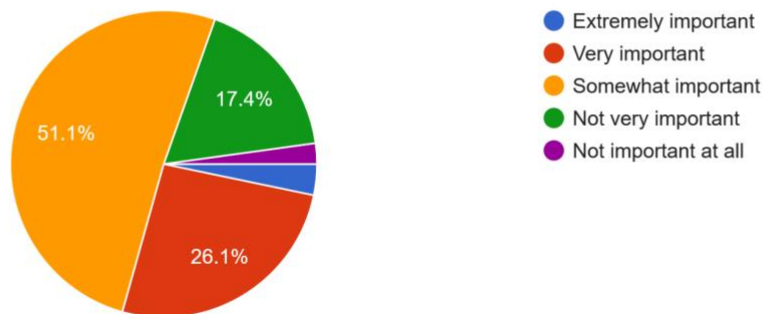


Figure 4:

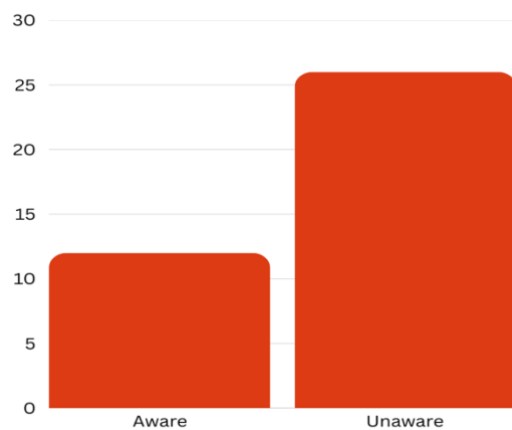


Figure 5: Survey Q8

Q8. Have you ever purchased items from the Conscious line before it was discontinued?

92 responses

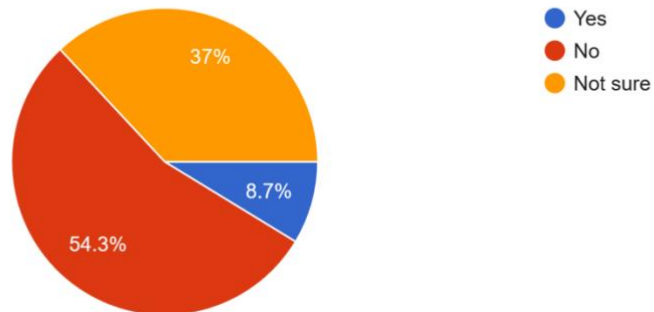


Figure 6: Survey Q11

Q11. H&M clearly explains how its sustainable products are made.

92 responses

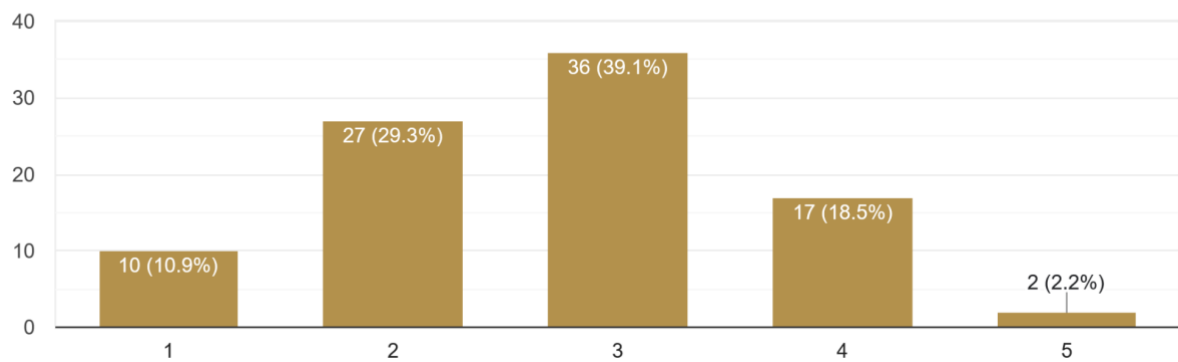


Figure 7: Survey Q12

Q12. H&M's environmental claims are trustworthy.

92 responses

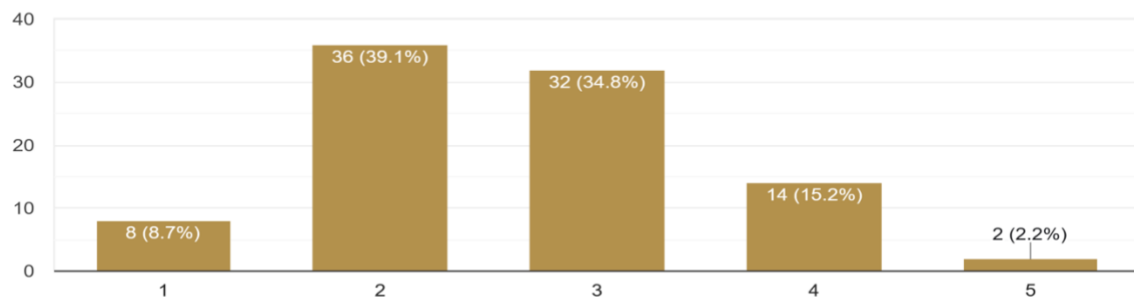


Figure 8: Survey Q13

Q13. H&M's sustainability initiatives make a real positive impact on the environment.

92 responses

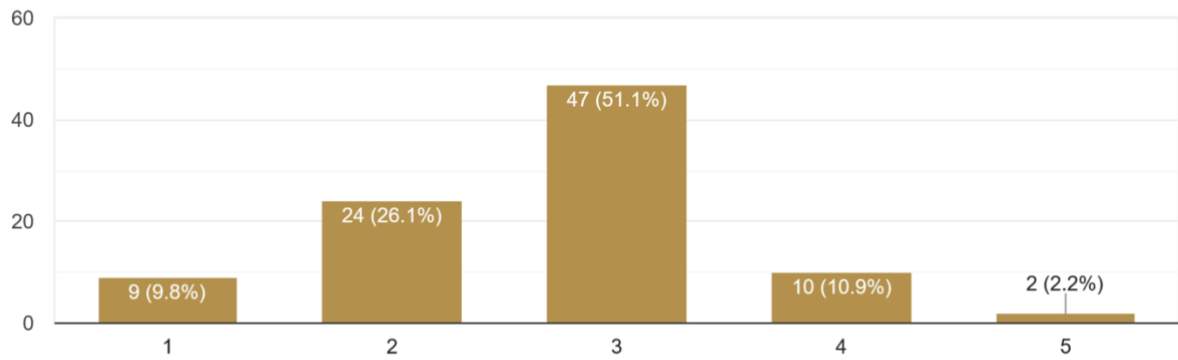


Figure 9: Survey Q14

Q14. H&M provides transparent information about materials and production.

92 responses

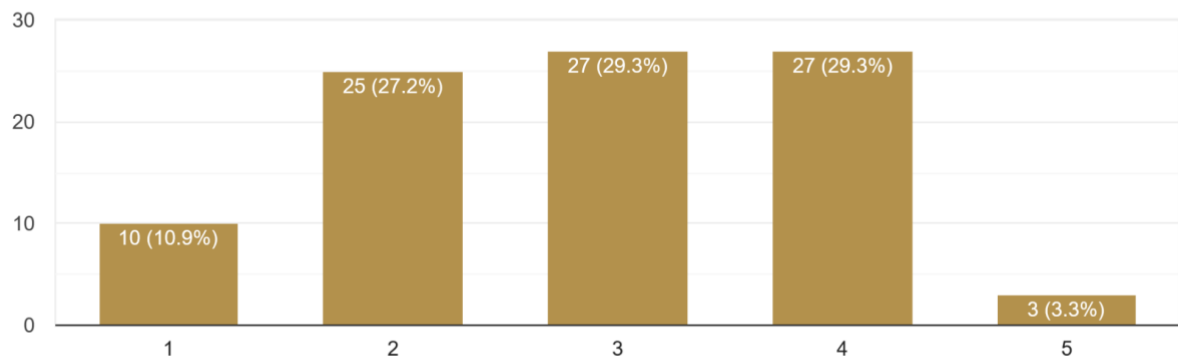


Figure 10: Survey Q15

Q15. H&M uses sustainability mainly as a marketing tactic.

92 responses

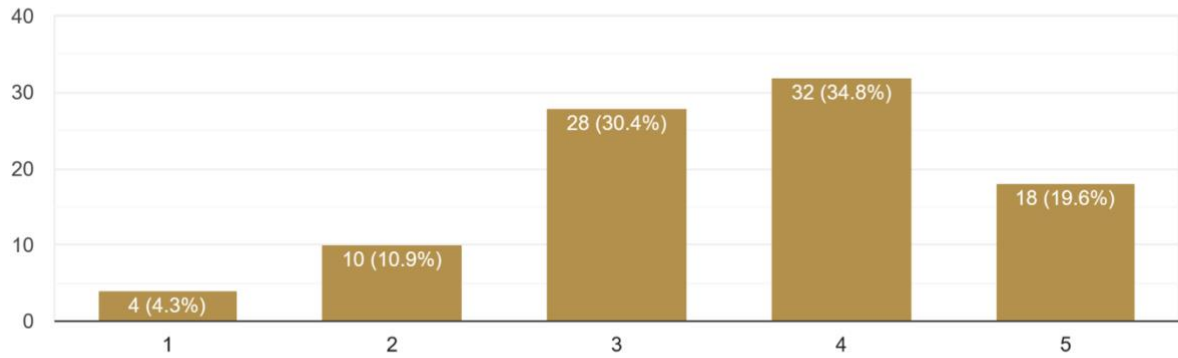


Figure 11: Survey Q16

Q16. Compared to similar brands, H&M shows a stronger commitment to sustainability.

92 responses

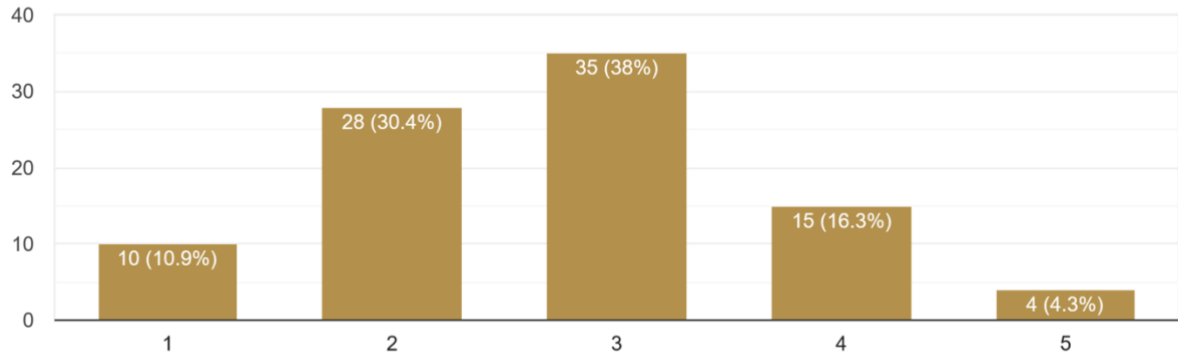


Figure 12: Survey Q17

Q17. I actively look for verified sustainable clothing options when I shop.

92 responses

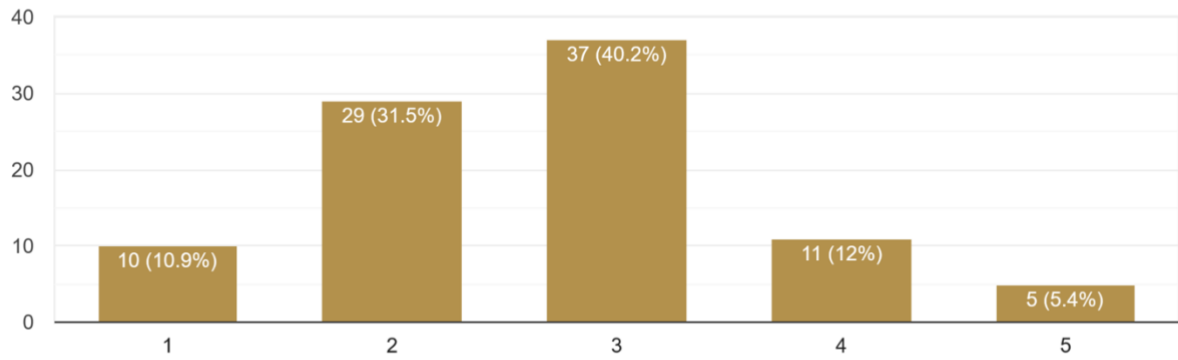


Figure 13: Survey Q16

Q16. How likely are you to buy from H&M in the next 3 months?

92 responses

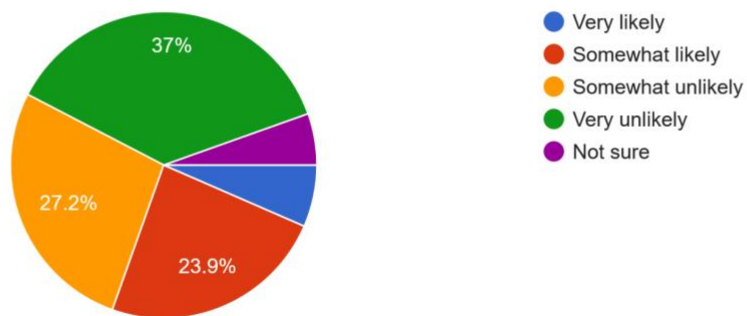


Figure 14: Survey Q17

Q17. My friends or peers encourage me to buy from sustainable clothing brands.

92 responses

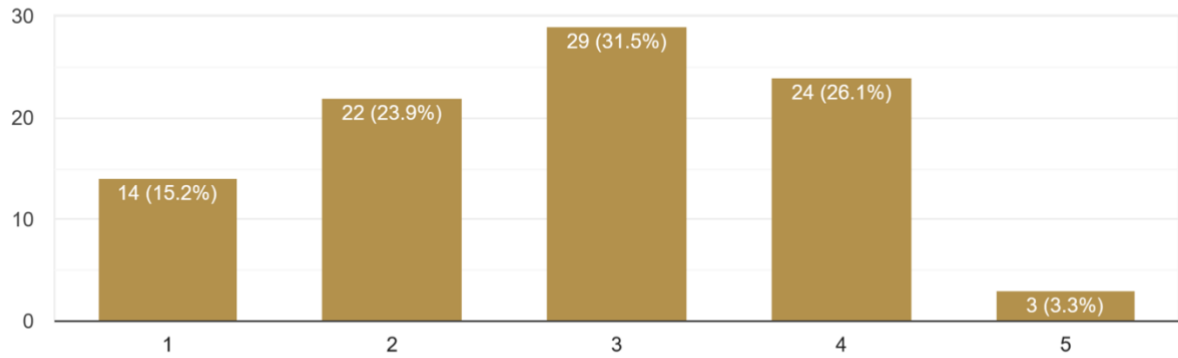


Figure 15: Survey Q18

Q18. If H&M provided clearer information about its sustainability practices, how would that affect your likelihood of purchasing?

92 responses

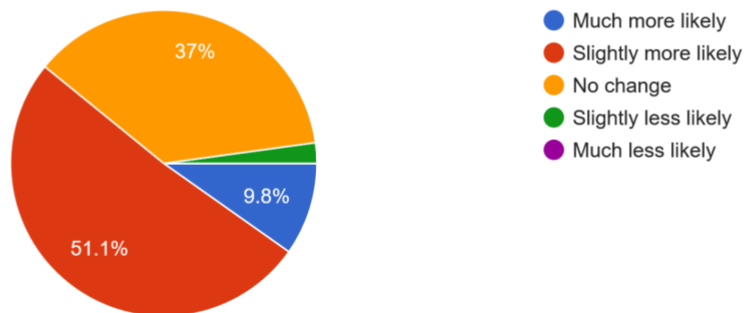


Figure 16: Survey Q19

Q19. If H&M launched a clearly verified sustainable line again, how likely would you be to try it?

92 responses

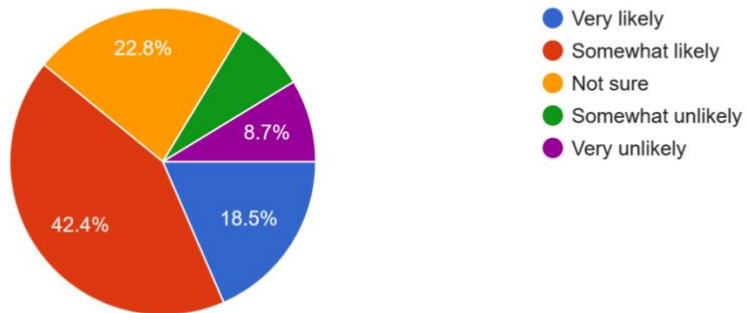


Figure 17: Survey Q20

Q20. Suppose a basic T-shirt costs \$25. If the same T-shirt were independently certified as sustainable (e.g., verified eco-friendly materials and practices), how much more would you be willing to pay?

92 responses

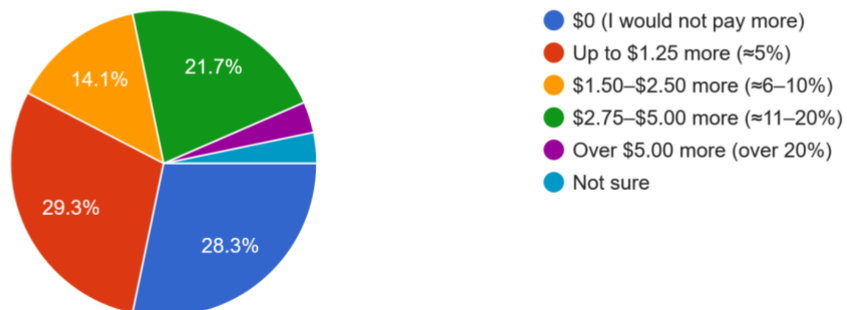


Figure 18: Survey Q21

Q21. What prevents you from purchasing more sustainable clothing? (Select all that apply)

92 responses

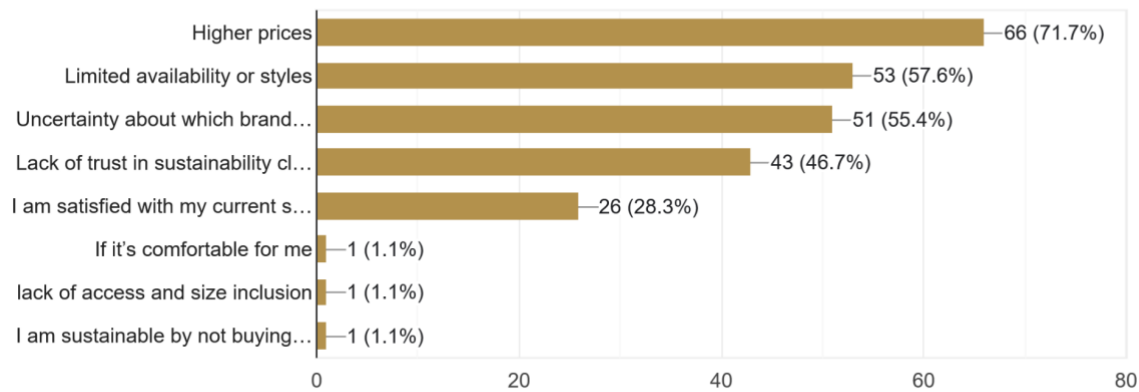


Figure 19: Survey Q23

Q23. Please indicate your age.

92 responses

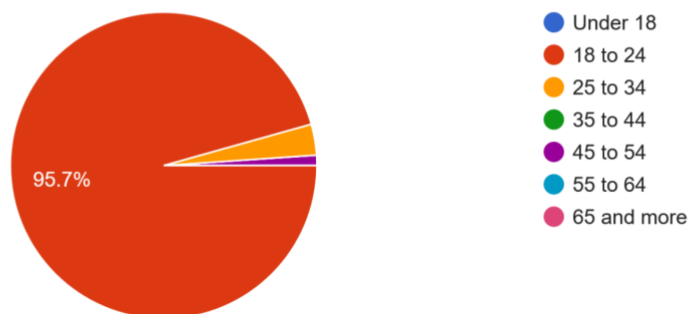


Figure 20: Survey Q24

Q24. Please indicate your gender.

92 responses

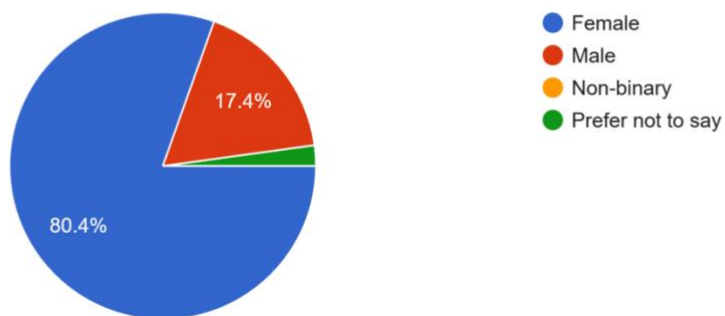
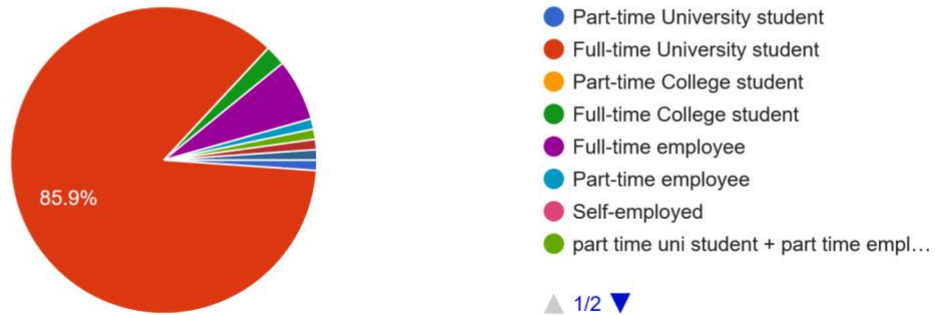


Figure 21: Survey Q25

Q25. Which of the following best describes your employment status?

92 responses



END